

Budget would give it the image of being pro-farmer, pro-poor, pro-minorities and at the same time pro-reform—a difficult sleight of hand—political pundits believed that the Congress party would now dare the Left to withdraw support if they went ahead with the deal.

Much of the urgency was because the George Bush administration was winding down and there were warnings that unless the current US Congress voted on the agreement before the end of its term in 2008, the chances of getting the next President to push through a similar deal again were not bright. For months the Government had shilly-shallied over the deal with the UPA-Left committee, which was formed as a way of sorting out issues, seen more as a

explosions except countries mentioned under the NPT. India had been disqualified on both counts and the US was willing to persuade the NSG to make a special exemption for it.

Earlier the Bush administration had to get the US Congress to pass a law making an exemption for India as its own domestic laws prevented a US Government from civilian nuclear trade with any country that was not a signatory to the NPT. Under the deal, the US agreed to trade in civilian nuclear material with India, if it made a clear division of its military and civilian reactors and agreed to put all reactors, that it designated as civilian, under permanent IAEA safeguards. The deal recognises India as a de facto nuclear weapons power and

breaking out in Parliament over India's right to test, India made sure there was no mention about testing in the 123 Agreement.

While the Government patted itself, the Left dropped a bombshell when it raised serious, though belated, objections about the Hyde Act contending that it overrode the 123 Agreement. They also had ideological objections to India having close ties with the US. The UPA-Left committee was seen as a compromise but a belligerent Left made it clear that it was offering the Government, as Sitaram Yechury, a CPI(M) politburo member, put it "an honourable exit." But the Left subsequently blinked and allowed the Government to begin negotiations with the IAEA.



delaying tactic. The Left parties made what it claimed was a minor concession by allowing the Government to proceed with an India-specific safeguards agreement with the International Atomic Energy Agency (IAEA) but with the caveat that it would have to get the committee's approval before signing it.

The agreement with the IAEA was a key step in the deal's progress because without it, the US would not be able to convene the Nuclear Suppliers Group (NSG) and get its 45-members to agree to amend the rules to do civilian nuclear trade with India. Such an exemption was necessary because under the NSG rules, no member can conduct nuclear trade with countries that have not joined the Nuclear Non-proliferation Treaty (NPT) or have carried out nuclear



NUCLEAR SUPPLIERS GROUP: Using the IAEA agreement, the US would persuade the NSG to amend its rules to allow its 45 members to carry out civilian nuclear trade with India without killer conditions

will end its pariah status.

That exemption was done through the now controversial Hyde Act which laid down certain other criteria that the Bush administration had to ensure before the deal got the approval of the Congress. This included India signing a safeguards agreement with the IAEA, the NSG clearing the deal and a clause that the deal with the US would end if India conducted a nuclear test. India then negotiated the bilateral 123 Agreement with the US that laid out the details of the deal including assurances of guaranteed fuel supply to civilian reactors in case of termination. But with an uproar

Since then the Department of Atomic Energy (DAE) officials have held five rounds of negotiations with the IAEA to work out an India-specific safeguards agreement. India is not new to such safeguards with reactors in Tarapur, Rajasthan and Koodamkulam already under them. They are meant to ensure that there is no diversion of nuclear material from these reactors to the weapons programme. While Nick Burns, a key US negotiator and till recently under-secretary of state, maintains that the "IAEA process is relatively simple and straightforward", it has taken longer than it should. That partly